BASIC FACTORY AUDIT REPORT

GENERAL INFORMATION			
Service No.	S130108C2	Date	19 Jan. 2013
Supplier name	[Confidential]	Factory name	[Confidential]
Factory address	[Confidential]	Supplier contact	[Confidential]
Nearest international shipping port	Shanghai Port	Nearest international airport	Xiaoshan Airport
Supplier tel. No.	[Confidential]	Supplier email	[Confidential]
Main products	Woven garments		

INTENDED PRODUCTION	
What does the client intend to produce in this factory?	Outer garments.

AUDITOR'S OVERALL EVALUATION			
General organization and housekeeping	Grade:	8	/20
Working environment (light, noise, dust…)	Grade	15	/20
Maintenance of production equipment and facilities	Grade:	5	/20
Quality system overview	Grade:	18	/40
TOTAL	**Grade:**	**46**	**/100**

AUDITOR'S RECOMMENDATIONS

Three most severe issues to correct:

1. No clear procedure is given to operators.
2. No conform sample is available to operators or to the QC staff.
3. The factory does not communicate requirements clearly to its suppliers.

Other issues to correct:

1. The working environment is not clean.
2. No machine maintenance record was found.

Other notes:

1. Percentage of machines on duty during the audit: 20%.

2.	The factory does not have an export license.

A. FACTORY PROFILE

Date of establishment	13 Oct. 1994	Is the factory part of a group?	No
Business license	Certificate No:	Issuing date:	Expiration date:
	Hangzhou Jiexheng Garment Factory	13 Oct. 1994	12 Oct. 2024
Annual turnover for the past 3 years:	Grace Wang	Export sales turnover only	Total sales turnover
	2012	8 Million USD	8 Million USD
	2011	8.6 Million USD	8.6 Million USD
	2000	8.5 Million USD	8.5 Million USD

B. MAJOR CUSTOMERS

Customer name	Customer country	Brand under which products were sold	Type(s) of product	Last year total quantity	Percentage of total factory production
JC PENNEY	America	JC PENNEY	Women garments	500,000 pcs	50%
MANGO	Spain	MANGO	Women garments	150,000 pcs	15%
ZARA	Spain	ZARA	Women garments	100,000 pcs	10%
BV	Australia	EVENTS	Women garments	10,000 pcs	3%

C. NUMBER OF EMPLOYEES

Total employees	Management & administration	Production	Quality control	Design & printing	Total sales	English-speaking sales	Total engineers	English-speaking engineers	Other (logistics, canteen…)
250	30	200	20	6	5	3	5	2	1

D. WORKING TIME

Operating hours	No. of hours / shift	No. of shifts per day	No. of shifts per week	No. of days off / month	Max overtime / month
8 hours	8	1	5	9	24

E. LEAD TIMES (for an average order, for the client's intended production, according to the factory)

Peak production months	Slow production months	No. of days from reception of PO to reception of all materials & components	No. of days needed for the manufacturing processes	Size of average order (used for estimate)
October to February	March to September	30-45 days	60-90 days	2,000 to 5,000 pcs

Main components / materials for the client's intended production

Component / material	Sourcing area (province, country)	Lead time to receive after ordering
Cotton	Zhejiang & Jiangsu Province	30 days
Silk	Zhejiang & Jiangsu Province	30 days
Polyester	Zhejiang & Jiangsu Province	35-40 days
Zipper & Button & Labels	Zhejiang	7-10 days

F. PROCESS STEPS

Process step	Name of process step	Number of machines (total)	Number of operators
1	Fabric cutting	7 cutting machines	4
2	Sewing	80 sewing machines	28
3	Button	12 machines	6
4	Iron	7 Irons	5
5	Final inspection	-	4
6	Tagging & trimming	10 Swift guns	6
7	Packing	1 metal detector & 1 strapping machine	8

Details of process steps on 1 line on duty (from components to packing) ***Notes for auditor:* *Please choose a line that makes the products closest to the client's product.***			
Process step 1	Fabric cutting		
Machine name	No. of machines	No. of workers	Daily capacity
Cutting machine	2	2	1,000-1,500 sets

Process step 2	Sewing		
Machine name	No. of machines	No. of workers	Daily capacity
Sewing machine	18	7	About 120 pcs

Process step 3	Button attaching		
Machine name	No. of machines	No. of workers	Daily capacity
Button sewing machine	12	6	About 1,500 pcs

Process step 4	Ironing		
Machine name	No. of machines	No. of workers	Daily capacity
Iron	7	5	About 1,500 pcs

Process step 5	Final inspection		
Machine name	No. of machines	No. of workers	Daily capacity
N/A	N/A	4	About 1,500 pcs

Process step 6	Tagging & trimming		
Machine name	No. of machines	No. of workers	Daily capacity
Needles and scissors	N/A	6	About 1,500 pcs

Process step 7	Packing		
Machine name	No. of machines	No. of workers	Daily capacity
Packer & metal detection tester	1 packer, 1 metal detection tester	8	About 1,500 pcs

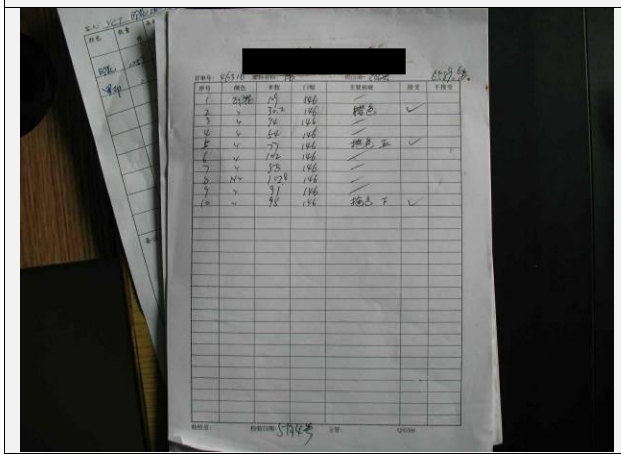
Notes from auditor:	- Percentage of machines on duty during the audit: 20 % - For ironing, button attaching and packing: no process running at time of audit. Factory claimed these workers were home due to absence of work that day. - Some machines were not kept clean and were not maintained in good condition.

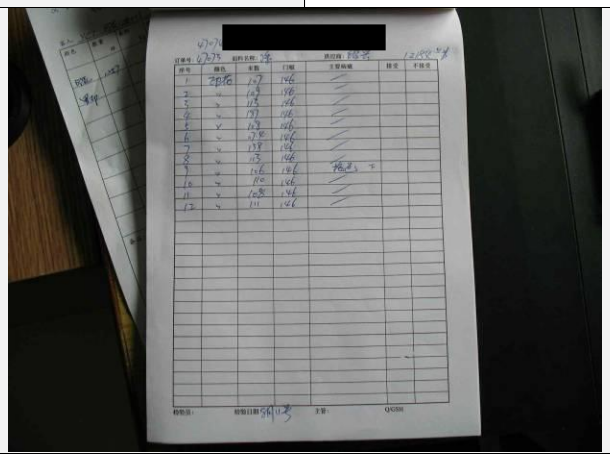
AUDITOR'S EVALUATION			
General organization and housekeeping	Grade:	8	/20
Working environment (light, noise, dust…)	Grade	15	/20
Maintenance of production equipment and facilities	Grade:	5	/20
TOTAL	**Grade:**	**28**	**/60**

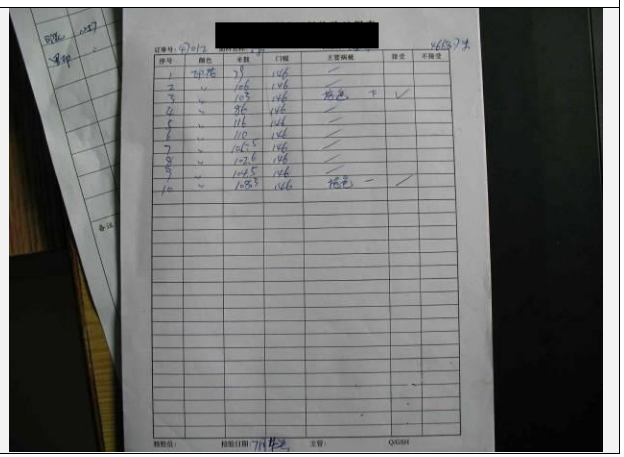
G. QUALITY SYSTEM OVERVIEW

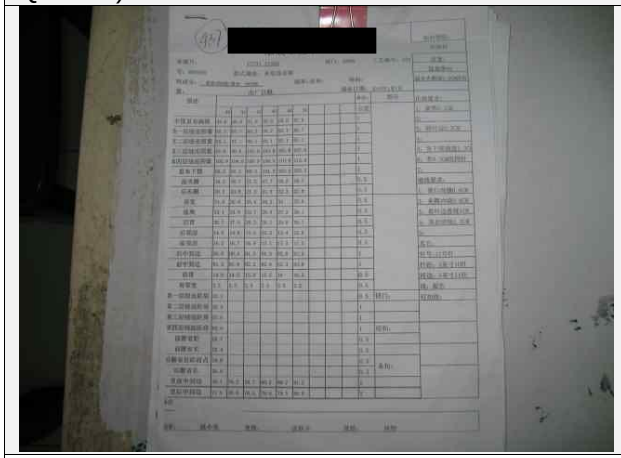
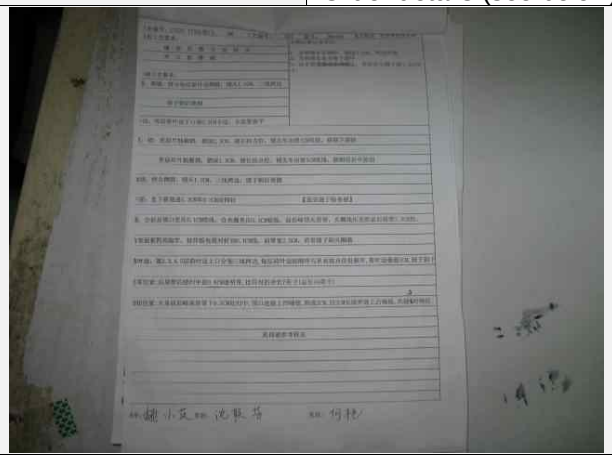
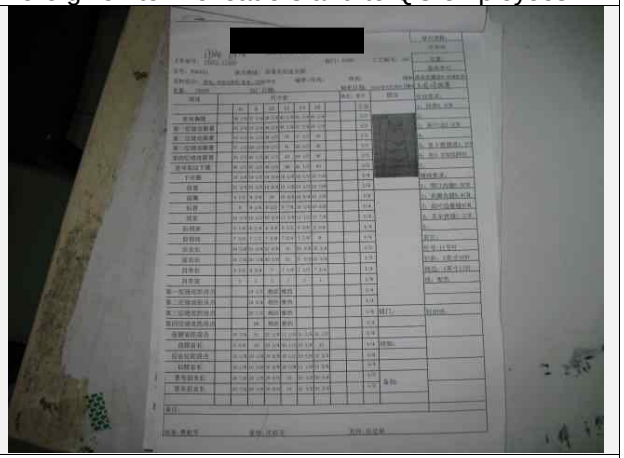
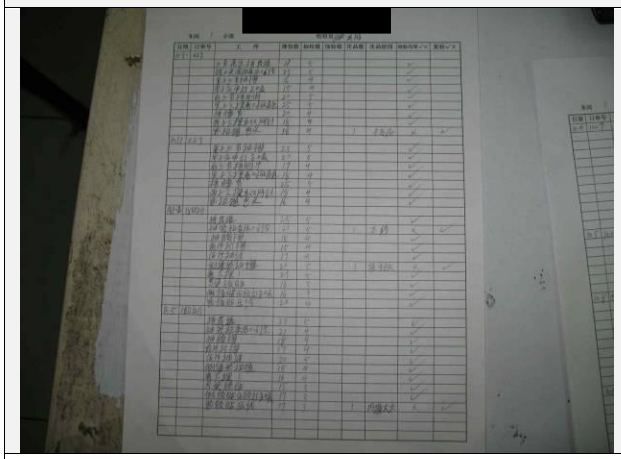
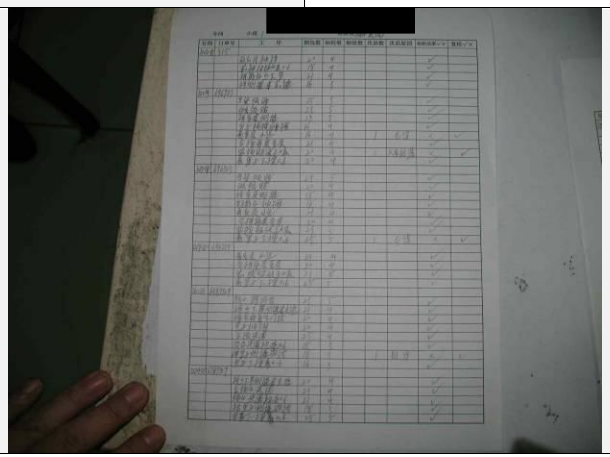
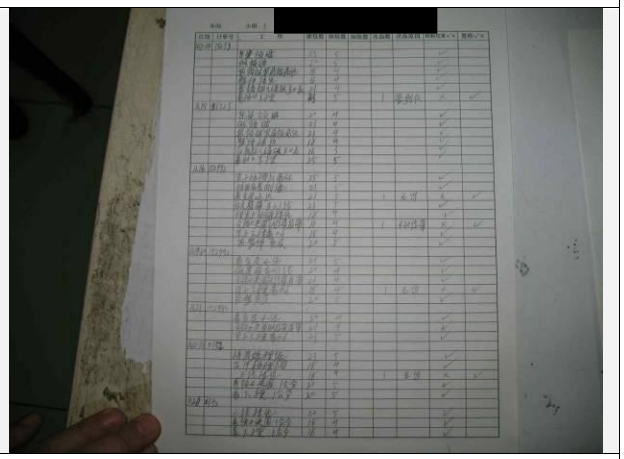
***Notes for auditor:* Please choose a line that makes the products closest to the client's product.**

Checkpoints	Comments and evaluations from auditor
Does the factory communicate requirements to its suppliers on its POs (or other documents)? Are requirements clearly listed?	No, the factory does not communicate requirements clearly. The factory said they just call suppliers to arrange deliveries, and they communicate requirement on the phone.
Are incoming QC (IQC) results recorded in a formal report / registry?	Yes, IQC results are recorded in reports. See below.







Incoming QC record	Incoming QC record	Incoming QC record
Are clear procedures given to each operator, for each job / task (including the QC staff)?	No clear procedure is given to each operator. Order details (see below) were given to line leaders and to QC employees.	
		
Order details given to line leader & QC employees		
Are conform samples available to workers in production and QC areas?	No conform sample is available to operators. No conform sample is available to QC employees.	
Are in-process QC (IPQC) results recorded in a formal report / registry?	Yes, IPQC results are recorded in reports. See below.	
		
In-process QC record	In-process QC record	In-process QC record

In-process QC under way	In-process QC under way	In-process QC under way

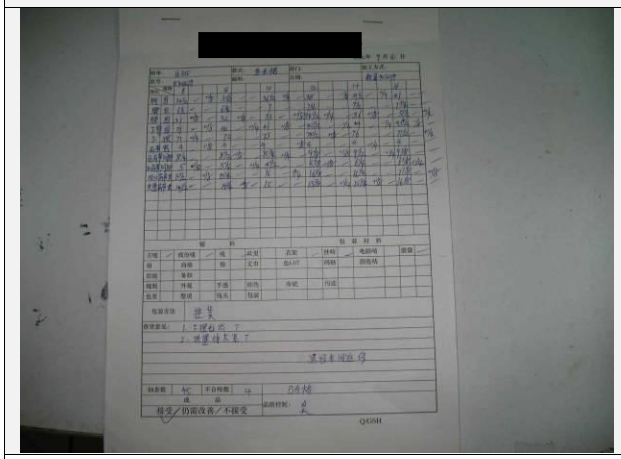
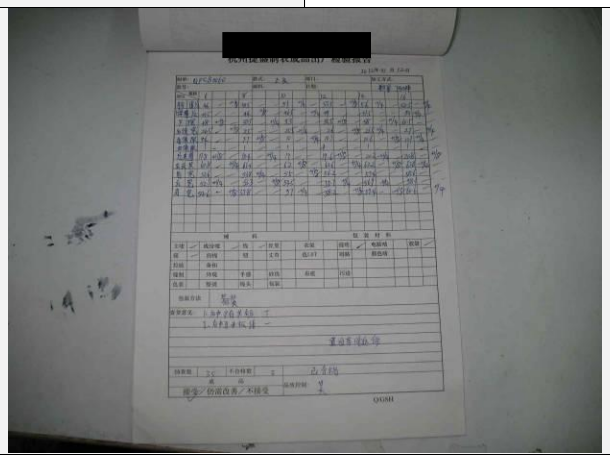
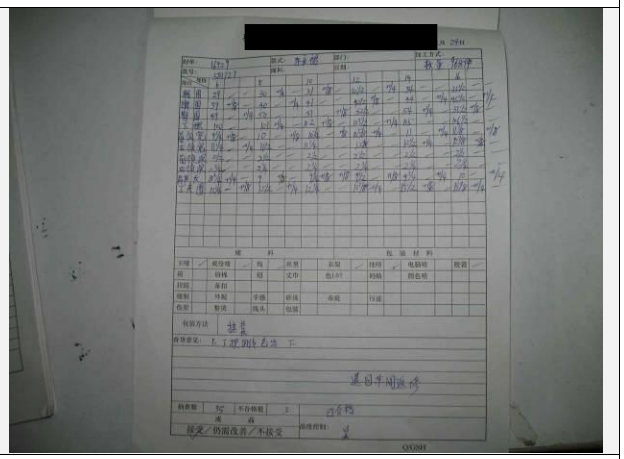
Does Final QC (FQC) occur before packing is completed?	FQC takes place before packing is completed.

Final QC under way	FQC under way	Defective products area

What proportion of products is checked during FQC?	100% of pieces are inspected, according to factory.
Are there QC staff solely dedicated to FQC? How many? Do they only do QC, or also a finishing operation at the same time?	There are 4 QC employees solely dedicated to IPQC. There are 4 QC employees solely dedicated to FQC. They do QC and threads trimming.

Final QC under way	Final QC under way	Final QC area

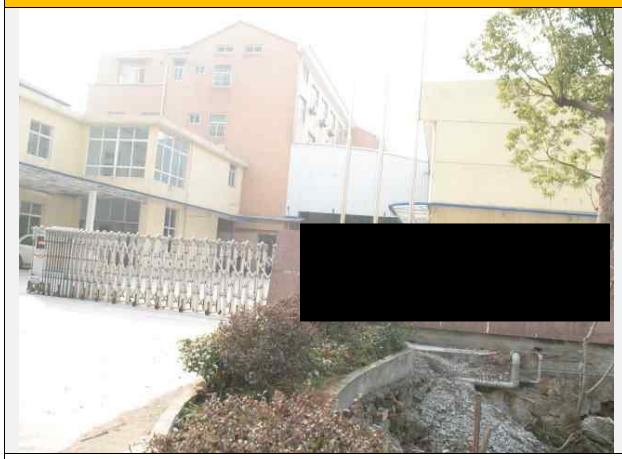
Are FQC results recorded in a formal report / registry?	Yes, FQC results are recorded.

		
FQC result record	FQC result record	FQC result record

EVALUATION FROM AUDITOR

Quality system overview	Grade:	18	/40

H. OBSERVATION OF FACILITIES

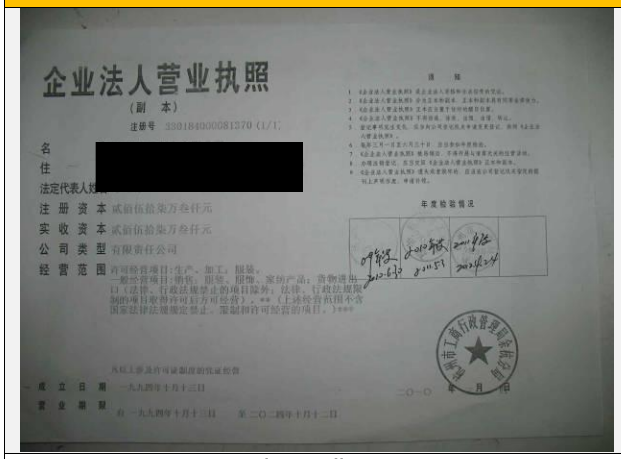
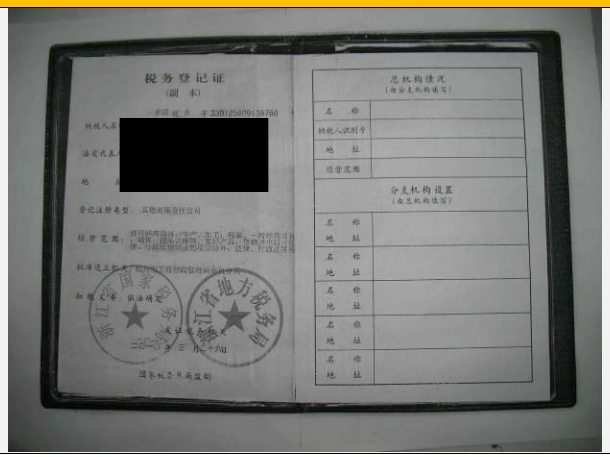
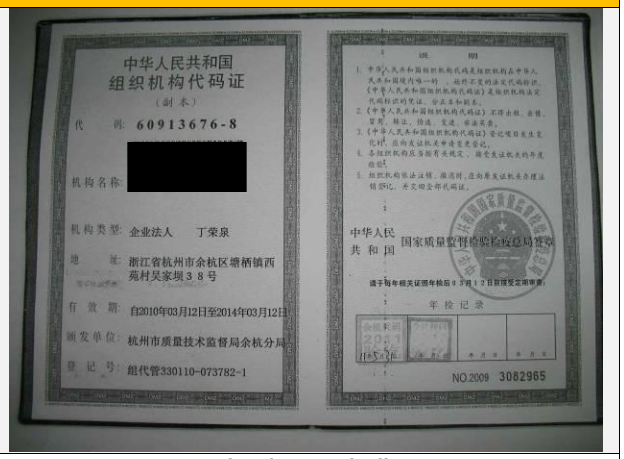
		
Gate of the factory	Factory overview	Factory overview
Reception	Office	Office

Reception	Showroom	Showroom
Warehouse	Warehouse	Cutting line

Ironing line	Sewing line	Sewing line
Sewing line	Labeling	Fabric storage

Materials & accessories in stock	Materials & accessories in stock	Materials & accessories in stock
		--
Semi-finished products storage	Semi-finished products storage	--

I. PHOTOS OF IMPORTANT DOCUMENTS

		
Business license	Tax license	Organization code license

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Note: some of the information contained in this report was provided by the supplier/factory, and the supporting documents could not be authenticated during the audit.